

	Income Statement	Balance Sheet	What It is	Notes
Profitability	MAKE MONEY			
Gross Profit Margin	✓		Gross Profit Relative to Sales	
Operating Profit Margin	✓		Operating Income Relative to Sales	
Net Profit Margin	✓		Net Income Relative to Sales	
Return on Assets	✓	✓	Net Income Relative to Assets	
Return on Equity	✓	✓	Net Income Relative to Owners' Equity	
Liquidity Ratios	MEET PAYMENT OBLIGATIONS			
Current Ratio		✓	Current Assets : Current Liabilities	
Quick Ratio		✓	Sharper sign of Liquidity. Current Assets - Inventory: Current Liabilities	

	Income Statement	Balance Sheet	What It is	Notes
Debt Ratios	COVER DEBT POSITION			
Debt to Total Assets		✓	Total Debt : Total Assets	
Debt to Equity		✓	Total Debt : Common Equity	
Times Interest Earned	✓		Operating Income : Interest Expense	
Asset	TURN ASSETS INTO SALES (AND \$\$\$)			
Average Collection Period	✓	✓	AR : Sales/Day (Sales/365)	
Total Asset Turnover Ratio	✓	✓	Sales : Total Assets	
Inventory Turnover Ratio	✓	✓	COGS : Inventory	
Fixed Asset Turnover Ratio	✓	✓	Sales : Fixed Assets	
Market Value				
Market to Book		✓	Market Price : Book Value	
Price to Earnings	✓		Market Price/Share : EPS	

